

Cinemark Holdings, Inc. (CNK)

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Thesis: The SARS-CoV-2 pandemic decimated investors' appetite for motion picture exhibition stocks, which, along with industry headwinds, bolstered long-held beliefs that the motion picture exhibition industry is nearing end-of-life. However, despite these headwinds and ill-conceived beliefs, 2022 projections indicate Cinemark stock is poised to outperform.

BUY Recommendation

Price (11 Feb. 2021): \$20.57

2Y Price Target: \$29.00 (+41%)

Based on 2022E P/E, P/S, and EV/EBITDA multiples.

Overview

Company Description	Financials	Price Performance (SP500 and AMC Rebased)
Cinemark is a motion picture exhibition company, operating through subsidiaries, primarily in the U.S. and South America. As of September 2021, Cinemark operated 533 theaters, comprised of 5,974 screens (12.6% North America market share).	52-Week High/Low \$32.79/\$5.71 FD Shares Out (mm) 119.1 Market Cap. (mm) \$2,227 Avg Daily Vol (000) 10,026 LTM Sales (mm) \$1,377 LTM OI (mm) (\$402) LTM Net Income (mm) (\$351)	
Valuation	Assets (mm) \$5,828 Liabilities (mm) \$4,380 Equity (mm) \$1,448 Book Value / Share \$12.16 Debt to Total Capital 40.7% Dividend (annual) \$0.00 Fiscal Year End Dec	
Current LTM P/E	n/a	
Current LTM P/S	1.7x	
Current LTM EV/EBITDA	n/a	
2019 LTM P/E	21.5x	
2019 LTM P/S	1.2x	
2019 EV/EBITDA	9.5x	

Investment Rationale

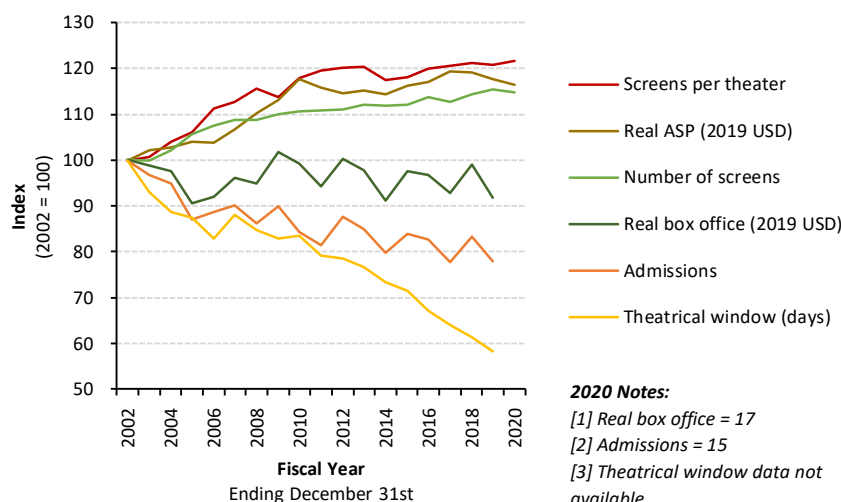
Approach: With conservative base case industry assumptions, evaluated CNK relative to AMC Entertainment Holdings, Inc. and projected key 2022E financials.

[1] The market is overestimating the impact industry headwinds will have on post-COVID admissions. Circuit admissions are likely to be lower post-COVID due to (a) secular decline, (b) high industry capacity, (c) competition from alternative film distribution channels, and (d) shorter theatrical windows. However, conservative estimates on post-COVID dynamics indicate industry admissions will normalize above levels currently priced into motion picture exhibitor stocks.

a. Secular decline. Streaming video on demand (SVOD) and other forms of entertainment have eroded circuit demand. Since 2002, admissions have declined, on average, 0.8% per year. In the base case scenario, the rate of decline increases to 1.5% decline per year.

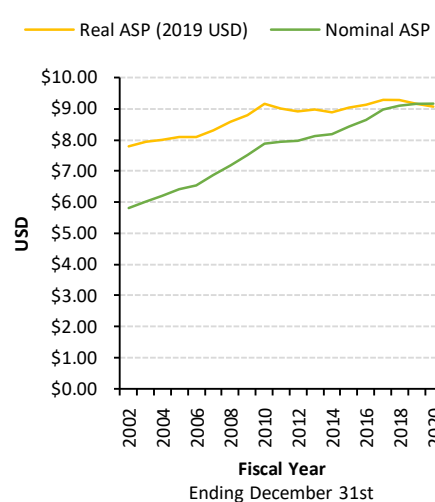
b. Industry capacity and prices. Between 2002 and 2019, the number of North American screens grew 15%. Over the same time period, admissions declined 22%. Though the SARS-CoV-2 pandemic has caused some permanent closures (admissions declined 81% YoY in 2020), the four largest theater operators (56% of market share) have largely weathered the storm. Additionally, a theater property's near-singular use incentivizes property owners to adjust lease terms to keep theaters in operation. Lastly, larger circuits spread fixed financing costs, which have increased due to pandemic driven new debt issuances. In the base case scenario, real ticket prices (ASP) decline 1.5% per year and firm market share is held at 2019 levels. Historically, ASP has remained flat since 2009.

Motion Picture Exhibition Industry Analysis, 2002 - 2020



Sources: NATO, US BEA, The-Numbers, IMDbPro.

Motion Picture Average Ticket Prices, 2002 - 2020

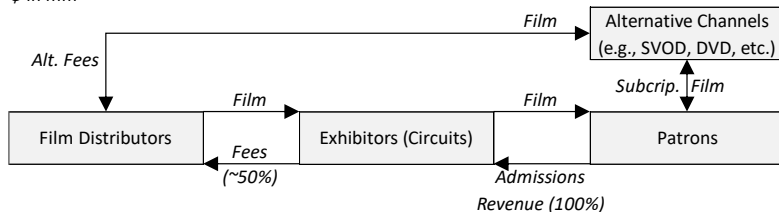


Sources: NATO, US BEA.

c. Competition from alternative distribution channels. During the pandemic, film distributors have leveraged SVOD for some releases. However, industry-insider sentiment is not behind direct-to-SVOD over the long-term. The Warner Bros. announcement to release their 2021 box office line-up on HBO Max and in theaters simultaneously drew swift backlash from actors, directors, and other distributors. That said, HBO Max subscriber growth accelerated, jumping 4.6M after the Warner Bros. announcement, representing \$827M in ARR, 5.4% above what Warner Bros. is estimated to have made in rental fees from North American circuits in 2019. Moreover, HBO Max's 37.7M total subscribers affords an estimated 113M individuals (31% of North America's population, assuming one subscription per 3-person household) access to Warner Bros. films at no incremental cost. Given this development, in the base case scenario, admissions are reduced by 30% for theatrical releases competing with a SVOD viewership option. However, given the differentiated theater experience, brand exposure, distributor fees, and ability to access SVOD options soon after a theatrical release, it is unlikely distributors will forego the theatrical channel post-COVID.

Flows of Value for Film Distributors

\$ in mm



2019 Box Office: \$ 11,400
Approx. 2019 Fees: \$ 5,700
% of Streaming Spend: 15.3%

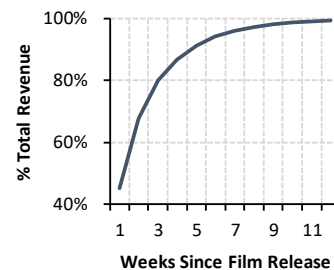
Streaming Content Spend

\$ in mm

Netflix	\$ 16,000
Amazon	7,000
Apple TV+	6,000
Hulu	3,000
Disney+	1,750
HBO Max	1,500
Quibi	1,000
Peacock	1,000
2020 Total	\$ 37,250

Source: Bloomberg.

Revenue Recognized by Weeks Since Release



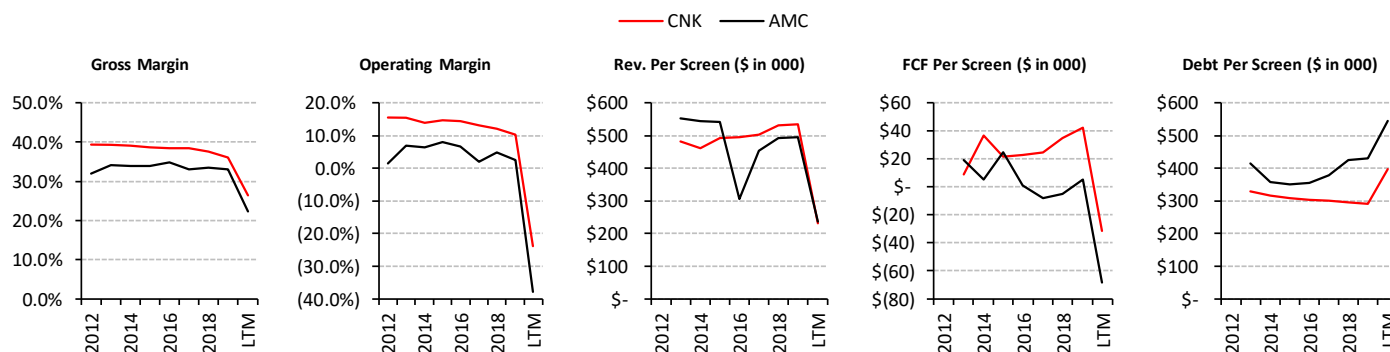
Sources: The-Numbers, calculations.

d. Theatrical windows. Theatrical windows (periods during which films are exclusively in theaters) have steadily trended downward since the early 2000s, with a current average of 92 days. Film distributors are now negotiating 17-to-31-day theatrical windows for major releases—70% of a film's revenue is recognized within 14 days of the film's release, 80% within 21 days, and 90% within 35 days. The base case scenario assumes the average theatrical window declines to 35 days.

[2] CNK's management team has built a stronger business relative to their primary North American competitor, AMC. Going into the pandemic, relative to AMC, CNK had (a) better gross margins, better operating margins, (b) higher revenue per screen, higher FCF generation per screen, and less debt per screen. Consequently, (c) CNK is better positioned to outperform current market expectations post-COVID.

a. Margins. CNK's gross margin was 36.2% in 2019, compared to AMC's 33.0%; operating margins were 10.3%, compared to AMC's 2.5%. Across all expenses that contribute to gross income (except concessions), CNK's expenses as a percent of revenue were lower than AMC's. Operating margins at AMC have ranged from 1.4% to 8.0% since 2012. At CNK, operating margins have ranged from 10.3% to 15.5% over the same time period.

b. Revenues, FCF, and debt. On a per screen basis, revenues, FCF and debt were all more favored at CNK relative to AMC. CNK's revenues per screen have trended upward, from \$463K to \$535K since 2014 (AMC is down from \$543K to \$496K over the same time period). CNK's FCF per screen was \$42K in 2019 compared to AMC's \$6K. Lastly, CNK's Q3-20 debt per screen of \$397K is lower than AMC's pre-pandemic debt per screen (\$431K). Since the start of the pandemic AMC's debt per screen has risen to \$544K.



c. Overall, CNK is the best stock to take advantage of the market's misperceptions of the motion picture exhibition industry's prospects. 16.9% of CNK equity is owned by insiders. Less than 1% of AMC equity is owned by insiders. While other circuits issued debt to grow their footprint over the prior decade, CNK focused on operating a core set of ~500 theaters, driving efficiencies, generating FCFs, and returning cash to shareholders. Pre-pandemic, since 2007, CNK had raised yearly dividend payouts. In 2019, CNK paid out \$159M in dividends (62% of FCF). The discipline CNK has cultivated will serve it well coming out of the pandemic and, in an environment characterized by the aforementioned headwinds, better positions the firm to outperform less efficient, overleveraged industry rivals.

Valuation (base case financials on right)

Key Scenario Assumptions (best, base, worst) and Imp. Share Price:

- Baseline admissions per year admissions decline (0.5%, 1.5%, 2.0%).
- Year-over-year change in real ASP (0.5%, 1.5%, 2.0%).
- Change in North American market share (none, none, none).
- Admissions loss when SVOD competition present (20%, 30%, 40%).
- Average theatrical window in days (42, 35, 28).
- CNK's 2022E gross margins (37%, 35%, 33%).
- CNK's 2022E EBITDA margins (23%, 21%, 19%).
- 2022E P/E (22x, 20x, 18x).
- 2022E P/S (1.5x, 1.4x, 1.2x).
- 2022E EV/EBITDA (10.0x, 8.5x, 7.0x).

	Best	Base	Worst
P/E	43.82	25.67	12.40
P/S	38.72	33.03	26.07
EV/EBITDA	43.28	26.01	12.80
Average	\$41.94	\$28.24	\$17.09
% Chg. Current	104%	37%	(17%)

\$ in mm	2018A	2019A	2020E	2021E	2022E	2023E
Admissions	\$1,834	\$1,805	\$337	\$677	\$1,513	\$1,498
Concession	1,109	1,161	216	433	968	958
Other	279	317	73	147	328	324
Total revenue	3,222	3,283	625	1,257	2,809	2,780
Cost of revenue	(2,013)	(2,095)	(460)	(863)	(1,826)	(1,807)
Gross profit/(loss)	1,209	1,188	165	393	983	973
Gross margin	37.5%	36.2%	26.4%	31.3%	35.0%	35.0%
EBITDA	679	628	(75)	45	590	584
EBITDA margin	21.1%	19.1%	(12.0%)	3.5%	21.0%	21.0%
D&A	(269)	(266)	(262)	(264)	(264)	(264)
Interest, net	(99)	(87)	(110)	(113)	(113)	(113)
EBT	311	274	(448)	(333)	212	206
Tax provision	(95)	(80)	172	93	(59)	(58)
ETR	30.7%	29.2%	38.4%	28.0%	28.0%	28.0%
Net income/(loss)	\$215	\$194	(\$276)	(\$240)	\$153	\$148

Risks to PT

Slower than expected return to normalized public-health environment, faster than forecasted change in consumer behavior, increased SVOD competition.

Catalysts

Vaccine rollout, theatrical releases in 2021, earnings calls, clarity on SVOD intentions around new film releases, clarity on new distribution deals.